Cambridge (CIE) A Level Business

Your notes

Management

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Traditional management functions

- A manager is an individual within an organisation who is responsible for **overseeing a team** or **a specific function**
- Large businesses usually have several layers of management with distinct responsibilities
  - **Directors** or owners establish the business's **overall goals** and set **long-term targets** for the business
    - They are ultimately responsible for business performance
  - **Senior managers** work to **achieve the targets** set by the owners or directors
    - They are often **responsible for a function** within the business, e.g. marketing or finance
  - **Supervisors** and **team leaders** support senior managers to achieve their targets
    - They **report problems** and pass on instructions
    - They may make **simple decisions,** such as allocating jobs among different employees

Managerial functions

Planning	Organising
▪ Senior managers **set overall business aims** and **corporate objectives** which determine **functional objectives** ▪ They decide on **strategies to be pursued** and determine **timescales**	▪ Managers ensure **resources** such as equipment, workers, supervision and **logistics** are in place
Directing	**Controlling**
▪ Managers **lead and motivate** others, **communicate** clear expectations and focus **human resources** on tasks	▪ Managers **track progress** and make appropriate changes to **ensure objectives are met** ▪ They implement **contingency** plans or engage in **crisis management** when required

The role of managers: Fayol

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- Fayol identified **five functions** of management that provide a framework to help managers determine how to best allocate their time

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Fayol's five functions of management

Henri Fayol's five functions of management outline the way managers should allocate their time

1. **Planning**
   - Managers assess the future and make sure the organisation is prepared for it
   - They should develop flexible **business plans** that consider available resources and future market trends
2. **Organising**
   - Managers define team members' roles and responsibilities and make sure that everyone understands what is expected of them
   - They should hire, train and allocate staff so that every role is covered
3. **Commanding**
   - Managers get the most from their staff

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- They should be familiar with team members' strengths and **delegate** tasks that match them
- They should also set a good example by "walking the talk" to build a strong and dependable team

4. **Coordinating**
   - Managers ensure that every department understands its responsibilities and knows what other teams need from them
   - They should aim to create a smooth workflow, prevent disruptions and solve problems
5. **Controlling**
   - Managers regularly check that everything is running as it should be
   - They should be prepared to amend rules, plans and processes if necessary
   - They should always be alert for areas for growth and improvement

Evaluation of Fayol's five functions

- Fayol's ideas **promote skills such as teamwork** and **agility**, which are important in modern workplaces
- However, some have criticised his ideas for being **too inhuman for modern management**
  - **One man's observations** cannot possibly apply to all organisations

The role of managers: Mintzberg

- Henry Mintzberg argued that Fayol's five functions do not fully describe the **activities that managers undertake** in their roles
- He identified **ten roles** that are common to all managers, categorised into **three groups**
  - **Interpersonal** roles
  - **Informational** roles
  - **Decisional** roles

Mintzberg's ten managerial roles

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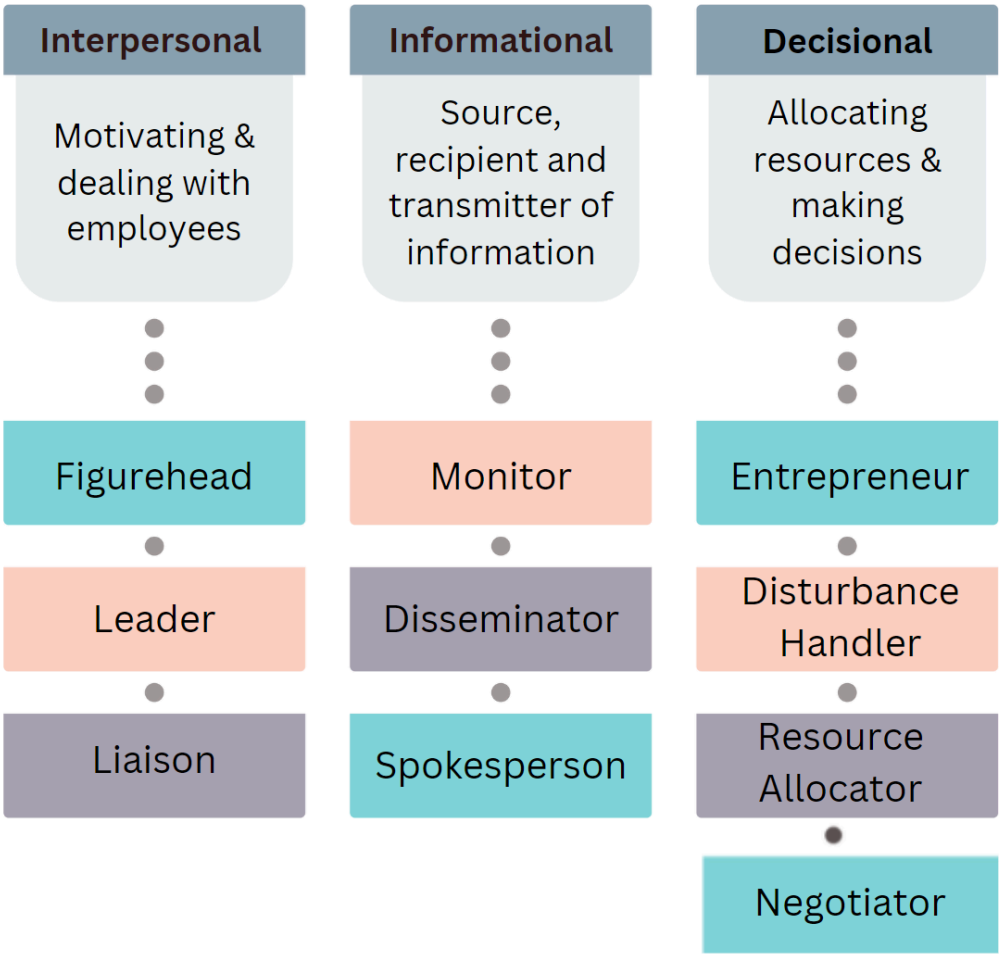

Minzberg outlined ten management roles within three distinct groups: interpersonal roles, informational roles and decisional roles

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Interpersonal roles

- A manager's interpersonal roles are those which focus on **motivation and dealing with employees** and, sometimes, other external **stakeholder** groups
- The three roles are
  - Acting as a **figurehead**
    - E.g. Appearing in press conferences, hosting product launches and being the 'face' of the business
  - Being a **leader** and enthusing others
    - E.g. Be available to meet staff, encourage and praise employees
  - **Liaison** with others inside and outside of the business
    - E.g. Communicate with stakeholders, participate in events, respond to complaints

Informational roles

- These roles involve the **collection, communication and presentation of information** within and outside of the business
- The three roles are
  - Being a **monitor** and collector of information relevant to business circumstances
    - E.g. Attend conferences, keep up-to-date with industry research
  - Acting as a **disseminator** of information to both subordinates and other key stakeholder groups
    - E.g. Share key developments with staff, calm fears and communicate positively
  - Being the business **spokesperson**
    - E.g. Lead seminars, communicate with the media and government

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Decisional roles

- These roles are focused on **making decisions** and **organising resources** so that business objectives can be met
- The four roles are
  - Being an **entrepreneur** on behalf of the business
    - E.g. Bring new ideas and **empower** others to become intrapreneurs
  - Acting as a **disturbance handler** during periods of upheaval or change
    - E.g. Determine rapid responses in crisis situations, act as a key point of contact
  - Being a **resource allocator** to ensure adequate financial and physical resources are available
    - E.g. Determine **budgets** and source finance, staff and equipment
  - Representing the business as a **negotiator** with external stakeholders
    - E.g. make deals with significant suppliers and customers, network with key business allies

Evaluation of Mintzberg's ten managerial roles

- Mintzberg emphasises the **importance of interpersonal roles** in effective management, which Fayol's five functions overlook
- However, his informational and decisional roles are largely the same as those identified by Fayol, albeit **more defined** and of **more practical use** to managers

The contribution of managers to business performance

- Managers contribute to business performance by **planning**, **leading**, **organising,** and **making appropriate decisions**

- Good managers help businesses run smoothly, adapt to change and meet objectives effectively
- Poor management can lead to confusion, low morale and missed opportunities

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Case Study

Better management at Café Verde

Café Verde is a small chain of eco-friendly coffee shops in South Africa.

When the business began struggling with high staff turnover and inconsistent customer service, the owner promoted Lindiwe, an experienced team leader, to the role of operations manager.

Lindiwe introduced several key changes:

- She reorganised staff rotas to ensure each shift had a good mix of experienced and new employees
- She arranged training sessions to improve customer service skills and product knowledge
- Lindiwe held weekly team meetings to gather feedback and set targets for quality and service
- She also introduced a bonus scheme linked to customer satisfaction scores

Outcomes

- Within three months, customer complaints fell by 40%, staff morale improved and staff turnover reduced significantly
- Sales increased as more customers returned and left positive reviews online

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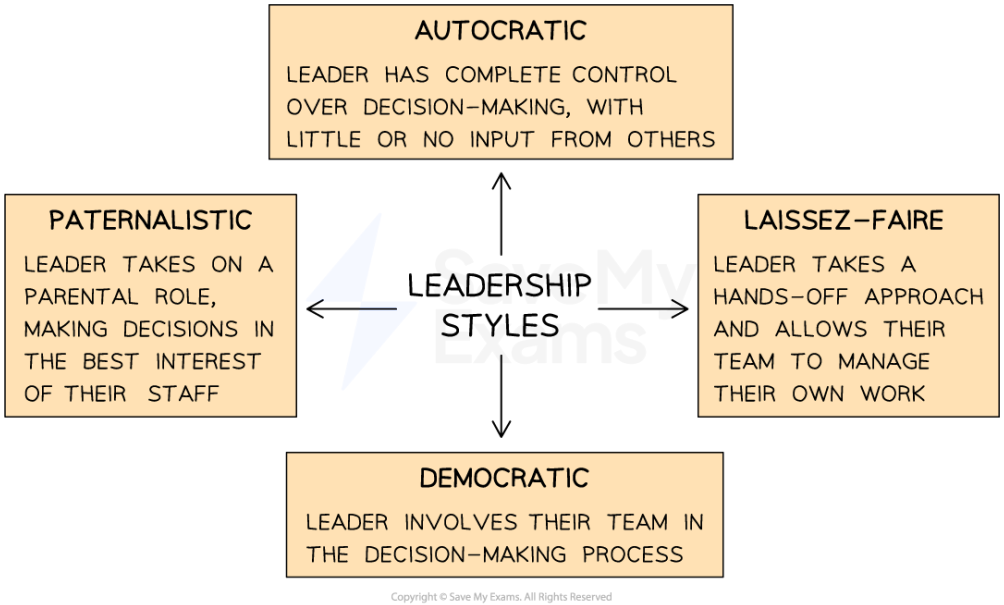
An introduction to management styles

- Management styles are **different approaches** to leading and **managing a team or business**
- An effective manager will be able to **use a variety of styles** depending on the situation to achieve the best results for the business

Common management styles



Managers can adopt a range of styles, including autocratic, paternalistic, democratic or laissez-faire

- The **choice of management style** can be influenced by business circumstances, as well as its nature and size

Autocratic management

- An autocratic manager holds **absolute power** and **authority** over a business
  - The manager makes decisions without seeking input or agreement from others
  - They typically expect strict obedience and compliance from their **subordinates**
- Autocratic managers often have **complete control over the decision-making process**
  - They set the direction and goals of the business
  - They do not usually consider the opinions, ideas, or expertise of their team members
  - Their decisions are generally not open to discussion or debate

Situations where autocratic management is effective

Situation	Explanation
Crisis situations	▪ In times of immediate crisis, such as natural disasters or military conflicts, **quick and decisive actio**n is often required ▪ Autocratic managers can make **swift decisions without the need for lengthy discussions,** which can be crucial in emergency situations
Hierarchical organisations	▪ Organisations with highly structured hierarchies may benefit from autocratic management for the sake of **coordination and efficiency** ▪ In military units, for example, commanders often need to give **clear and direct orders that subordinates must follow** without question
Time-sensitive projects	▪ Autocratic management can help **speed up decision-making** ▪ In businesses with strict deadlines, such as construction or event planning, an autocratic manager can ensure that tasks are completed promptly by providing **specific instructions** and **minimising time spent on discussion**
Inexperienced or unmotivated teams	▪ Autocratic management can be effective when working with teams lacking the necessary skills, experience or motivation ▪ By providing clear **direction and close supervision,** an autocratic manager can guide the team towards achieving their goals more efficiently
Maintaining order and discipline	▪ In businesses where **strict discipline and adherence to rules** are important, such as energy generation, an autocratic manager may be necessary to **ensure compliance** and maintain order

- Autocratic management has drawbacks, including
  - **Reduced employee morale** as workers have no input into decision-making
  - **Limited creativity**, as employees are required to follow strict instructions and are closely monitored
  - Lack of input from team members restricts an important source of **problem-solving ideas** and **innovation**

Paternalistic management

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- Paternalistic managers assume a 'fatherly' role towards their subordinates, acting in a **protective and authoritarian** manner
  - The manager **makes decisions for employees** while also showing concern for the **well-being and development** of subordinates
  - The manager takes on responsibility for the **welfare of their employees**
    - They may provide guidance, support, and resources to ensure the success of their employees
    - *Huawei*'s Ren Zhengfei is viewed as a paternalist who has shaped the businesses culture with well-defined goals, **employee devotion and absolute obedience in return for highly competitive pay** and opportunities for staff to buy shares in the company
- Paternalistic management can create a **sense of security** and support among employees, increasing their loyalty and reducing **staff turnover**
- It can also be perceived as **controlling** and **limits creativity and innovation** within a business
- It may create a **dependency on managers,** which restricts personal growth and professional development among employees

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Democratic management

- Democratic managers actively **involve employees** in the decision-making process and **encourage discussion**, though they have the final say
  - Consultation, collaboration, **delegation** and teamwork are common features of democratic management
- This management style is most effective in organisations with **skilled, experienced and creative employees**

Evaluation of democratic management

Advantages	Disadvantages

▪ **Encourages participation in decision-making**
  ▪ This involvement can lead to higher levels of **employee engagement** and **job satisfaction,** as individuals feel valued and empowered when their opinions are considered
▪ **Encourages creativity and innovation within a business**
  ▪ Employees are more likely to **share ideas** and **think outside the box**
	▪ **Time consuming**
	  ▪ Engaging all team members in discussions, collecting input and reaching agreement can slow down decision-making
	▪ **Conflicts and disagreements may arise**
	  ▪ Resolving these conflicts can be challenging and time consuming
	▪ **May result in compromise on the quality of decisions**

when they have a say in decision-making - **Can lead to more comprehensive problem-solving and decision-making** - By considering a range of viewpoints, managers can make more **informed choices** and **avoid potential pitfalls**	- Popular opinions may overshadow expert knowledge and decisions may be watered down or influenced by the desire for agreement rather than the best outcome

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Laissez-faire management

- Laissez-faire managers play a **minimal role** in directing their business team
  - They allow subordinates significant **autonomy and freedom** in making decisions and completing tasks
- Laissez-faire management is most appropriate where workers are **highly skilled and self-motivated** and require minimal supervision

Evaluation of laissez-faire management

Advantages	Disadvantages

- Encourages creativity and innovation within the business
  - By giving employees the freedom to explore ideas and make decisions independently, it allows for diverse perspectives and fresh approaches to problem-solving
- Empowers employees
  - Employees are empowered because they have autonomy and ownership over their work
  - This can enhance job satisfaction, motivation, and a sense of responsibility among team members as they feel trusted and valued
- Decentralised decision making
  - Employees can quickly respond to challenges and make decisions based on their expertise and knowledge
	- Inefficiency and lack of coordination
	  - The absence of direct guidance and supervision can lead to inefficiency, a lack of coordination within the team and a decrease in productivity
	  - Individuals may struggle to prioritise tasks or make informed decisions
	- Inconsistency in the quality and outcomes of work
	  - Different employees may have varying approaches, leading to a lack of cohesion and potential conflicts in the team
	- It is challenging for managers to monitor progress, identify issues, and ensure that goals are being met
	  - This can lead to decreased productivity and difficulties in holding individuals accountable

McGregor's Theory X and Theory Y managers

- Douglas McGregor developed two contrasting theories that explained how **managers' assumptions about what motivates workers** affects the **style of management** they adopt

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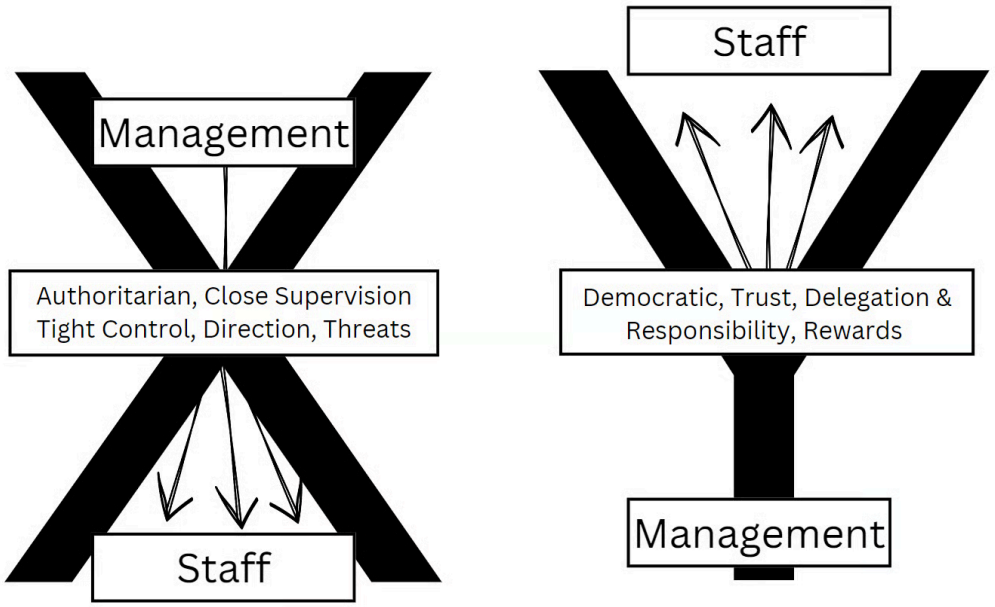
McGregor's Theory X and Theory Y



McGregor's Theory X and Theory Y managers adopt different approaches with their subordinates, based on their assumptions about their attitude to work

Assumptions of Theory X and Theory Y managers

Theory X	Theory Y

▪ The average employee ▪ **Does not like work** and tries to escape it whenever possible ▪ Must be **persuaded, compelled, or warned with punishment** to achieve organisational goals ▪ Must be **closely supervised** and directed ▪ Has little or **no ambition** beyond financial goals ▪ Dislikes and **avoids responsibilities** ▪ Will **resist change**	▪ The average employee ▪ Perceives their job as relaxing and **normal** ▪ Naturally wants to **make effort** in their job ▪ Does not require threats or coercion to work, as they can **self-direct and have self-control** ▪ Is **loyal and committed** to the organisation. ▪ Recognises and **welcomes responsibility** ▪ Has **skills, capabilities** and **resourcefulness** which can solve business problems

- Holding these assumptions about their workers means that managers are likely to **adopt different approaches with their employees**

Theory X and Theory Y approaches to management

- **Theory X managers** closely supervise employees
  - They provide **clearly defined tasks** and the promise of higher pay or the threat of **punishment** as means of motivation
  - They may use **autocratic** measures, which can result in mistrust and resentment among employees
  - McGregor recognised that this approach can be appropriate, especially where workers lack experience or maturity
- **Theory Y managers** establish a positive working environment
  - The organisation's **objectives match employees' personal objectives**
  - They develop a **cooperative** relationship with employees and allow them freedom to make and contribute to decisions
  - McGregor acknowledged that this theory isn't appropriate in every situation
    - It is an alternative to persuade managers to adopt a positive mindset when managing subordinates

Examiner Tips and Tricks

Your notes

Your exam case study is likely to provide some hints about the management style adopted within a business. You may find that a manager adopts elements of different styles and should be able to explain why this may be. You may consider the business context, business objectives, the type of workers, timescales, and the level of risk in your explanation.

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